

July FOMC Preview

- We expect the July FOMC meeting to be uneventful, with policy remaining on hold and no meaningful forward guidance from Chair Warsh's press conference. There will not be an updated SEP or dot plot at this meeting.
- Warsh's rhetoric in the press conference will likely continue to focus on inflation-fighting credibility. However, we expect Warsh to stop short of indicating his threshold for rate hikes or potential actions the Fed should take if inflation remains elevated. He is likely to reiterate several dovish talking points, including his belief in the disinflationary impact of AI, skepticism on the quality of official inflation data, and possibly the role of money growth in the inflation outlook.
- There will likely be two hawkish dissents in favor of a rate hike, from Dallas president Logan and Cleveland president Hammack. A third dissent from Minneapolis president Kashkari is a risk.
- Centrist and dovish officials signaled some possibility of future hikes in the run-up to the July blackout period, but most indicated that incremental disinflation would support the case to remain on hold. Given the slowdown in June inflation data, this suggests a solid majority of voters are comfortable with a "wait-and-see" approach.
- Although markets are pricing in a decent probability of a rate hike next week, Warsh's dovish bias as well as a potential risk of excessively tightening financial conditions will likely prevent him from advocating for a rate hike.

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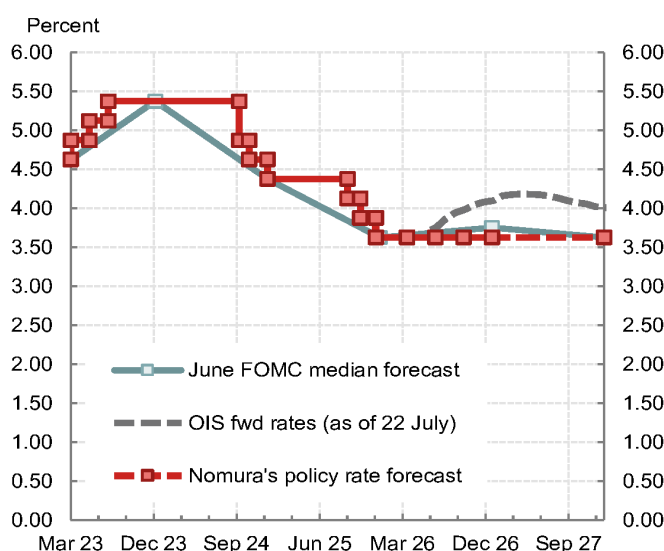
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Fig. 1: We expect the FOMC to keep rates unchanged at the July meeting, with two hawkish dissents in favor of a hike



Source: FRB, Bloomberg, Nomura

Fig. 2: We continue to expect the FOMC to remain on hold indefinitely

Tool	Key assumptions
Policy rate	
2026	No rate cuts, EOP 3.625%
2027	No rate cuts, EOP 3.625%
Terminal	3.50 - 3.75%
Balance sheet policy	
Size	Reserve management purchases of \$10bn/month. The NY Fed is actively managing reserve management purchases in response to seasonal liquidity demand and market conditions. We expect balance sheet growth to average \$20bn per month in the medium term.
Composition	MBS rundown to continue, with proceeds reinvested into Treasuries. Both reinvestments and eventual reserve management purchases will be skewed towards Treasury bills.

Source: FRB, Nomura

We expect the FOMC to keep the policy rate unchanged at 3.625% at the July meeting, with no substantive changes to the post-meeting statement.

Current market pricing suggests a serious risk of a surprise 25bp rate hike, but some of the market move appears to be associated with inherent uncertainty due to a lack of forward guidance as opposed to a drastic shift in the fundamental outlook or new

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information around the Fed's reaction function.

If there is no rate hike as we expect, a key thing to monitor would be the number of hawkish dissents. We expect two dissents from regional Fed presidents, with risk skewed toward an additional third dissent. Chair Warsh's press conference will likely highlight the importance of price stability, but we expect hints of dovishness in his comments, similar to his recent public appearances.

Recent Fed speak supports a wait-and-see approach

Recent comments from policymakers suggest most officials are comfortable holding rates steady at the July FOMC meeting.

At his *first semi-annual testimony* at Congress, Warsh did not provide any indication for the near-term policy outlook but signaled his dovish bias. He reiterated that AI should be disinflationary over the medium term and argued that AI-related capex would generate only a one-time price shock. Separately, his skepticism about the current official inflation measures suggest little urgency to act in the near term.

Other policymakers, such as NY Fed President Williams, Governor Cook, and Vice Chair Jefferson, appeared comfortable with a wait-and-see approach. Speaking before the June CPI report, Governor Waller seemed to be cautious about inflation risks and mentioned that policy decisions should be based on incoming inflation data. We think the June CPI and PPI reports are likely to convince him to remain on hold at the July meeting. Most centrist officials appear comfortable remaining on hold, as they expect sequential disinflation going ahead.

By contrast, a faction of the Committee remained hawkish. Dallas Fed President Logan argued that AI-related demand is "already here" and adding to inflationary pressure. KC Fed President Schmid said his focus "remains on inflation in setting the correct course of policy," while Cleveland Fed President Hammack saw no conflict between the Fed's mandates and argued that further action may be needed to curb inflation.

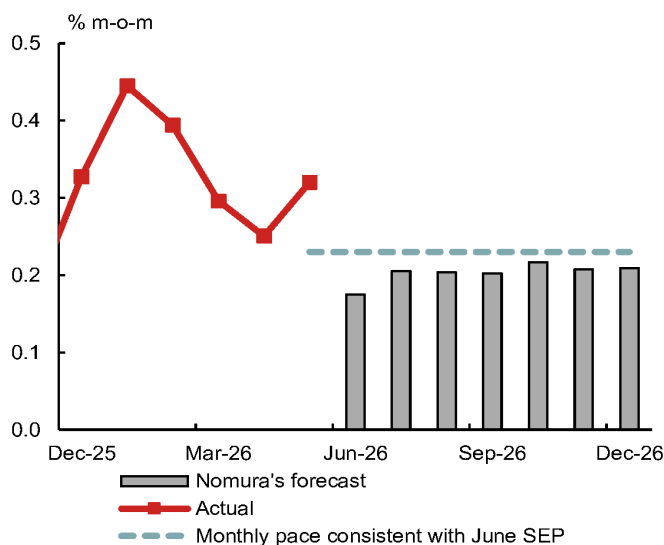
Dovish Inflation developments

There have been some positive inflation developments during the inter-meeting period.

First, *June CPI data* came in softer than expected. Based on June CPI and PPI data, we expect June core PCE inflation likely moderated to 0.2% (0.175%) m-o-m in June from 0.3% in May, which would mark its first 0.2% reading since November 2025 (*Fig. 3*). Given that Williams considered 0.2% m-o-m core PCE inflation as progress toward the Fed's 2% goal, we think June inflation data should be treated as dovish for most policymakers.

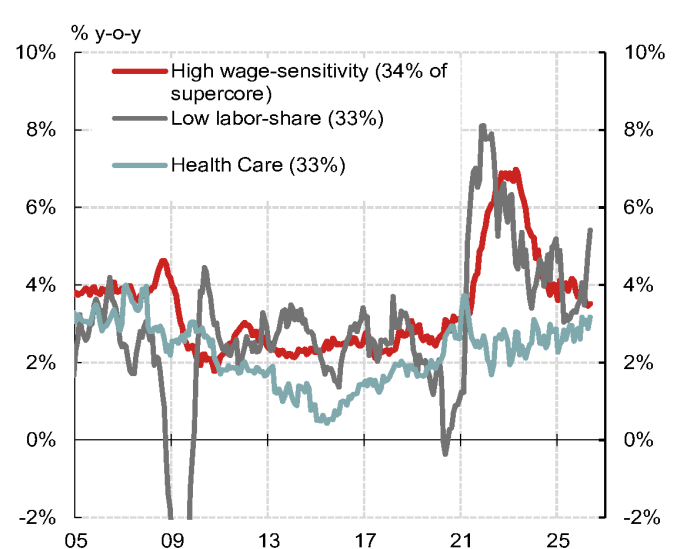
Fig. 3: We expect core PCE inflation to undershoot the monthly pace consistent with the Fed's SEP forecast for 2026

Core PCE inflation



Source: BLS, BEA, Haver, Nomura

Fig. 4: Wage-sensitive services inflation have trended lower recently



Source: BLS, BEA, Haver, Nomura

Second, although the June FOMC minutes highlighted growing concerns over AI boom-

induced inflationary pressures, the impact from price increases in consumer electronics remained limited. Other inflation data have also been positive. Notably, most wage-sensitive inflation components have trended lower recently (*Fig. 4*).

Third, in late June, the BEA announced *methodological changes* to portfolio management & investment advice prices and computer software & accessories. On our calculations, the net impact of those technical changes would lower y-o-y core PCE inflation by 20bp. We expect y-o-y core PCE inflation to moderate gradually toward 3.2% in Q4 this year (3.0% after incorporating the impact of methodology changes), below the median FOMC projection in June of 3.3%.

One hawkish development is a rebound in crude oil prices following re-escalation in the US-Iran conflict. However, the current level of crude oil prices remains below its recent peak earlier this year.

We expect two hawkish dissents

Based on recent Fedspeak, Dallas Fed President Logan and Cleveland Fed President Hammack will likely dissent. Another dissent from Minneapolis Fed President Kashkari is possible, but this is not our base case. Kashkari had expected one rate hike later this year as of the June FOMC meeting, which suggests his policy stance was not as hawkish as other uber hawks. In addition, his one-rate hike view did not necessarily support policy tightening in the near term. We think that Kashkari will support a continuation of the Fed's wait-and-see approach.

The case for a proactive rate hike

Markets currently price a near-40% probability that the FOMC will deliver a rate hike next week.

We agree with pricing in some possibility of tightening – fundamentals remain hawkish even after the recent reprieve on inflation. Directionally, rising oil prices raise upside risks to an already hawkish inflation outlook. Meanwhile, we think the lack of forward guidance and a limited track record of relevant policy decisions could also increase uncertainty around meetings early in Warsh's chairmanship. In addition, given that *Warsh* indicated a press conference might not need to take place unless there is something important to announce, a confirmation of Warsh holding his second press conference next week might have potentially encouraged speculation for a hawkish surprise.

The rationale for a rate hike in July largely depends on how proactive Warsh would like to be in establishing his inflation-fighting credibility. In our view, Warsh's rhetoric as chair has been building towards a case to remain patient. He has downplayed the signal from recent inflation data while insisting that relief is on the horizon from a disinflationary productivity boom. Warsh has also suggested that he sees money supply growth as a driver of inflation. This view is unlikely to be widely held on the FOMC, but we think it could increase Warsh's confidence in future disinflation and limit his concerns that current policy is overly accommodative.

Even if Warsh was in favor of hiking rates, we do not see a strong case to surprise the market with a move in July. In our view, it would be difficult for Warsh to communicate a proactive rate hike as "fine tuning," raising risks of a substantial tightening in financial conditions. We see three reasons to be cautious:

First, a July hike would likely increase uncertainty around the Fed's reaction function. Warsh suggested that making right policy decisions is the best way to enhance the Fed's credibility as opposed to communicating the Fed's intention. A surprise rate hike might be considered as his policy reaction function being more hawkish, leading markets to price in more rate hikes down the road and ultimately a higher terminal rate. Markets might not perceive that hiking now would save future hikes.

Second, we think recent volatility in equities and a sell-off in duration appear to worsen the case for a proactive (surprise) rate hike. While we agree that a hike is likely "harmless" for the real economy, a surprise tightening could have an outsize impact on financial conditions.

Finally, markets are not currently challenging the Fed's credibility on longer-term inflation. Despite the recent move in energy prices, 5-10y breakevens are currently around 2.2-2.3% -- a level flagged in April by Governor Waller as a reassuring sign of anchored inflation expectations. There does not appear to be urgency from a market-management perspective for Warsh to make a bold gesture to enhance his credibility.

Warsh's press conference

Since the June FOMC meeting, Warsh's comments have hinted at a dovish bias. He has downplayed inflationary pressures stemming from the AI investment boom and described them as potentially one time price shocks. He continued to highlight the importance of an expansion of the supply side. Regarding inflation metrics, *Warsh didn't see either trimmed-mean or core inflation* as a reliable indicator. In our opinion, he could further elaborate on his expectation for future work by the task force on data sources, which is in charge of considering alternative ways to gauge the inflation trend.

One area where Warsh has a strong personal view is balance sheet policy. At his Humphrey-Hawkins testimony earlier this month, he indicated a monetarist-type view on the relationship between money aggregates and inflation. We think it is worth watching how he views balance sheet policy as a tool to control inflation at this press conference. One hawkish risk is his sensitivity to oil prices. At the ECB's Sintra forum, he said inflation risks came down in reaction to lower crude oil prices following the ceasefire between the US and Iran. Now, crude oil prices have started to rebound, which poses the risk of potential hawkish comments from him.

Appendix A-1

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